Topic 7
Providers

Learning outcomes

After studying this topic, students will be able to:

- differentiate between different types of financial services provider; and
- critically compare the communication methods used by financial services providers.

Introduction

The financial services providers that people tend to be most familiar with are the banks and building societies with branches on the high street. These providers usually offer a full range of financial products and services that enable people to make transactions, save, invest, borrow and protect themselves by taking out insurance. Banks tend to provide these products themselves. Building societies tend to provide savings and borrowing products themselves and work with partners to provide insurance and longer-term investments.

Many banks and building societies can trace their history back for hundreds of years. For example, the Bank of Scotland was founded in 1695 and is now part of the Lloyds Banking Group; the Yorkshire Building Society was founded in 1864 as the Huddersfield Equitable Permanent Benefit Building Society. Credit unions are a less well-known type of provider but they have been in existence since the nineteenth century, although they were not legally recognised until the Credit Unions Act was passed in 1979.



Some providers operate from grand old buildings on the high street; others operate only online and via telephone.

There are also financial services providers that have been established more recently – for example, Metro Bank was set up in 2010 and has branches across London. There are also comparatively new financial services providers that are part of other businesses. For instance, Tesco Bank, founded in 1997, is part of the Tesco retail group; Virgin Money, founded in 1995, is part of a wider business investment group.

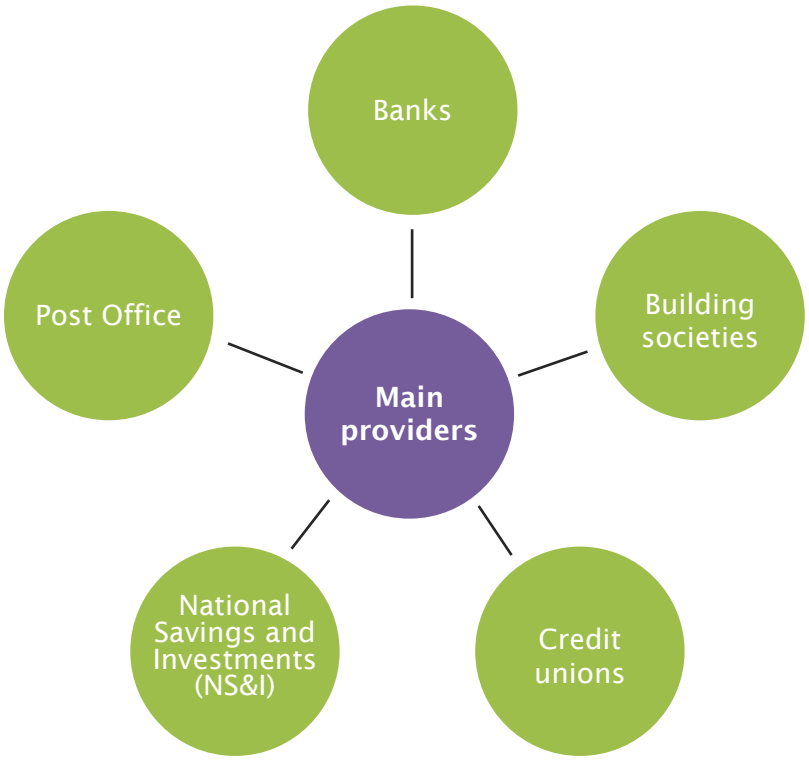
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Some of the financial services providers that have been formed more recently specialise in various ways, such as the following:

- using only some of the possible communication channels – for example, first direct (established 1989) operates solely online and by telephone;
- offering only certain types of product – for example, Sheilas' Wheels (established 2005) offers car and other insurances;
- allowing only certain groups of people to be customers – for example, Bristol Credit Union (established 2005) has members who live or work in Bristol.

Figure 7.1 shows the main providers of short- and medium-term products that are covered in this topic.

Figure 7.1 Main providers of short- and medium-term products



Topic 10 covers insurance companies. **Unit 2** covers investment companies and financial advisers. It also discusses Islamic banking.

Financial services providers make money by charging fees and from their interest rate margin. This margin is the difference between the interest rate (APR or EAR) charged on borrowing products and the interest rate (AER) paid on savings. For example, suppose Yellow Bank charges its borrowers 7% APR on its loans and pays its savers 2% AER. The bank uses the difference of 5% to cover its costs (administration, staffing and premises, etc) and its profit. How this interest rate margin is set and how the profit is used varies according to the type of provider.

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When people choose a financial services provider they should consider:

- the advantages and disadvantages of the type of provider (such as bank, building society or credit union);
- how they wish to operate their accounts and communicate with their provider (such as by visiting a branch, via the internet or by mobile phone); and
- how safe their funds are (such as membership of the Financial Services Compensation Scheme, which is covered in detail in **Topic 8**).

There are a number of organisations that protect the interests of financial services customers. One of these is the Financial Services Compensation Scheme (FSCS). The FSCS covers deposits in UK banks, building societies and credit unions up to a maximum of £85,000 per person, per provider. If the provider cannot repay the deposit, the FSCS will do so. Another example of consumer protection is that providers must be checked and authorised by the Prudential Regulation Authority before they can offer services such as lending or accepting deposits for current accounts and savings. The Prudential Regulation Authority (PRA) and the Financial Conduct Authority (FCA) work together to supervise providers, ensuring that they use appropriate operating procedures, manage risk effectively and treat consumers fairly. **Topic 8** focuses on how these regulators work.

When people buy products and services from authorised, regulated providers, they can expect to be treated well and they have protection (for example from the FSCS) if problems arise. There are also unauthorised firms operating in the financial market, and people should avoid dealing with them. People can find out if providers are regulated by checking the Financial Services Register, which can be accessed via the FCA website (www.fca.org.uk). Banks, building societies and credit unions are all regulated by the PRA and the FCA.

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7.1 Banks

Banks are usually public limited companies that sell a wide range of financial products and services to businesses as well as to individual customers. The part of their banking business that deals with individual customers is known as retail banking. Banks offer products and services that enable people to:

- make transactions – for example, current accounts, cash cards, debit cards and cheques, standing orders and direct debits;
- save – for example, cash ISAs, savings accounts and bonds;
- invest – for example, by buying stocks and shares;
- borrow – for example, overdrafts, personal loans, credit cards and mortgages; and
- protect themselves – for example, home and contents insurance, car insurance and life assurance.

Banks raise money to fund their operations by selling shares. The people who buy shares are called shareholders and they own a part or share of the organisation. These investors are motivated to buy and keep their bank shares by receiving part of the profits that the bank makes, for example 6.5 pence per share. These profit payments are called dividends and are usually paid to shareholders once or twice a year.

Banks, just like other commercial organisations, will decide how much dividend to pay shareholders; they may decide not to pay any dividend at all if profits are low. However, the directors are under pressure to pay dividends if possible, because otherwise shareholders may sell their shares. If a significant proportion of shareholders sell their holdings, the share price will fall, and the bank will find it difficult to raise further money because other investors will not want to buy shares. Banks therefore need to take account of their need to make dividend payments when they calculate their interest rate margin. This may mean that banks charge higher interest rates to borrowers and pay lower interest rates to savers than other types of provider.



Many financial institutions are based in the 'Square Mile' of the City of London.

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7.1.1 Banks as global businesses

The main UK banks are very large organisations that operate in all aspects of financial services globally. Banking groups are formed when financial services providers merge or acquire (that is, buy) other providers. Lloyds Bank was founded in 1765. From the mid nineteenth century it merged with or acquired more than 200 banks. In 2009 it acquired HBOS and became Lloyds Banking Group. It now has a range of different brands, including:

- banks that each provide a full range of financial services (Lloyds Bank, Halifax and Bank of Scotland); and
- firms that specialise in, for instance:
  - mortgages and savings (Aldermore);
  - motor loans (Black Horse);
  - insurance (St Andrew's Group);
  - long-term financial products like pensions and investment (Scottish Widows).

Some of the banks operating in the UK have headquarters in other countries. Santander UK plc is a wholly-owned subsidiary of the Santander Group, a Spanish provider with headquarters in Madrid. Other big UK banks were founded abroad. HSBC Bank plc was founded in Hong Kong as part the Hongkong and Shanghai Banking Corporation; in 1992 it took over Midland Bank in the UK and its headquarters are now in London. There are also many foreign banks operating in the UK as London is an international financial services centre.

7.1.2 Advantages and disadvantages of banks

An advantage of buying products from a large bank is that customers have easy access to different products and services. Another advantage is that the size of the bank means it can afford to invest in new products and services. For example, in 1989 HSBC launched the first bank in the UK that operated by telephone, 24 hours a day and seven days a week. That bank is first direct which has no branches, operating by telephone and online only. In 2011 first direct made another innovation by launching the first mobile banking app in the UK that enabled account holders to make transactions from their current accounts. Another example of innovation is Barclays launching contactless payment cards.

A disadvantage of dealing with a large bank is that customer service may be less efficient than in smaller organisations. A Which? magazine report identified that the most common complaints about banks involved poor customer service (for example, being unwilling to help with a problem), difficulty getting through to someone who could answer a question and mistakes on statements (Which?, 2013).

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The global nature of the financial services market means that events in other countries can have an impact on UK banks. The financial crisis known as the 'credit crunch' that began in 2007 affected financial services providers around the world. In 2008 the UK government 'bailed out' some banks that had made significant losses – in other words it provided financial support to prevent the banks from collapsing. The government bought shares in the banks and in May 2013 owned 39% of the Lloyds Banking Group and 81% of The Royal Bank of Scotland Group. The main reason that the government invested approximately £37 billion in these banks was to safeguard the banking system. These banks were considered 'too big to fail' because so many people and businesses had funds deposited with them and relied on borrowing from them. **Topic 8** looks at the financial crisis in more detail.

Some people feel that the banks that have government backing are now safer than their competitors. For example, Marek wants to open a current account and is considering which provider to use. He is particularly interested in Lloyds Bank and The Royal Bank of Scotland because he argues that the government will ensure his money is safe. Marek's friend Adrian points out that the government bailed these banks out because they would otherwise have become bankrupt. He also tells Marek that the government has been selling its shares in these banks; for example, by May 2017 the government had sold all its remaining shares in Lloyds Banking Group (government ownership is a short-term measure). Adrian explains that there is protection for customers of all banks, building societies and credit unions from the Financial Services Compensation Scheme. He recommends that Marek choose his provider based on other criteria.

7.2 Building societies

Building societies are mutual organisations owned by their customers, who are called members. Originally, building societies were set up to offer savings accounts and mortgages; these kinds of product still make up a large proportion of their business. Nationwide Building Society, for instance, is one of the UK's largest savings providers and second-largest mortgage lender. As well as these main products, building societies now provide a wide range of other financial products, including current accounts, credit cards and insurance. Many of these are provided by the building society itself; others, such as longer-term investments and insurances, are often provided by firms that have a long-term relationship with the building society. For example, the Yorkshire Building Society focuses on providing mortgages and savings; it introduces customers who want investments or life assurance to Legal and General, and those who want car insurance to Royal and Sun Alliance Insurance. This is different from a bank, which tends to offer these products directly or from another provider in its banking group.

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7.2.1 Advantages and disadvantages of building societies

A key advantage of building societies is that all customers are members who have a say in how the society is run: they can vote on key issues and attend and speak at annual meetings. Each member gets one vote, regardless of how much money they have deposited or how many products they hold.



Traditionally, building societies offered mortgages for property purchases. These products are still an important part of their business.

Another advantage of building societies is that they do not have shareholders and therefore do not need to pay dividends from their profits. They also do not have the running costs associated with paying dividends. According to the trade association that represents them, the Building Societies Association (BSA), paying dividends to shareholders increases a bank's running costs by around 35% (Your Mortgage, 2014). All the profits made by a building society are used to benefit its members; this may enable building societies to charge lower interest rates on borrowing and pay higher interest rates on savings than banks.

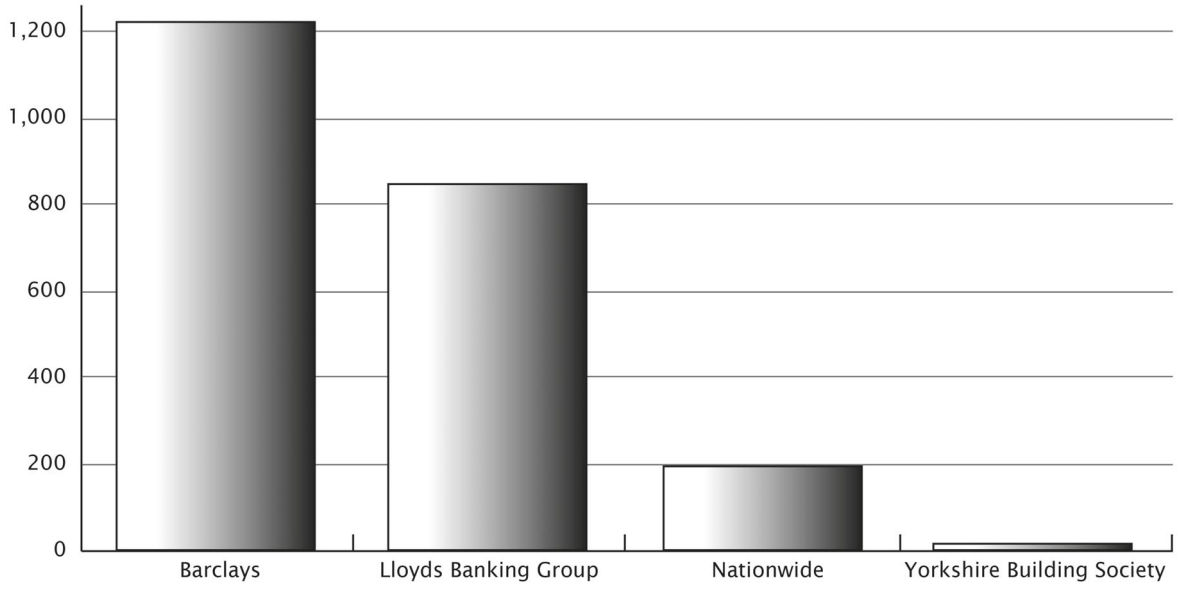
The customer service offered by building societies also tends to score more highly than the service offered by banks. A YouGov poll found that 79% of customers would recommend their building society to a friend, while only 60% would recommend their bank (Your Mortgage, 2014).

Their mutual status is one reason why building societies are able to offer a better service than banks; another reason is that they are smaller organisations than banks. For example, according to BSA statistics, the largest building society in the UK was Nationwide with assets of over £250 billion as at November 2021. The next largest was Coventry Building Society with assets of over £50 billion (BSA, 2021).

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Building societies are larger than credit unions, which are also mutual organisations. Credit unions restrict who can be members, tend not to offer the range of services that building societies do and usually make much smaller loans. For example, one of the largest credit unions is the Number 1 CopperPot Credit Union Ltd with assets of over £145 million (No1 CopperPot Credit Union, 2019).

Figure 7.2 Comparison of assets held by banks and building societies (£ billions)



Sources: Barclays (2017), Lloyds Banking Group (no date), Nationwide (2017), Yorkshire Building Society (2017)

The size of building societies can be considered a disadvantage as well as an advantage. They are unlikely to be able to spend the same amounts of money on research and development as large banks can. They also need to rely on partners to offer members certain services such as insurance policies.

7.2.2 Why building societies are smaller organisations than banks

One of the reasons why building societies are smaller organisations is that they tend to operate within the UK only and often have quite a local focus. The smallest building society is the Penrith Building Society with one branch and a few thousand members, most of whom live in and around Penrith in Cumbria's Lake District.

Another reason why building societies are smaller than banks is that legal restrictions are placed on their business activities. At least 75% of their assets must be mortgages and at least 50% of their total funding must come from members' deposits, that is,

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the balances in savings and current accounts. There are also restrictions on the amount of unsecured loans that building societies can make. These restrictions mean that building societies take fewer risks than banks when making loans and borrowing funds for their business.

7.2.3 Demutualisation

Some building societies claimed that these restrictions prevented their businesses from growing and so they changed from their mutual status to banks, a process known as demutualisation. This option is only possible if the majority of members agree and it is only open to the largest building societies because of the costs involved in the process. Some building society members vote for demutualisation because they receive shares and cash 'windfall payments' when the building society becomes a bank and can sell shares. Other building society members vote against demutualisation because they consider that the benefits of being mutual (especially better customer service, lower running costs and better interest rates) outweigh the benefits of being a larger organisation.

Examples of building societies that became banks include Abbey National (now part of Santander), Halifax (now part of Lloyds Banking Group) and The Woolwich (now part of Barclays). None of the building societies that demutualised to become banks are operating as individual providers now.

The Building Societies Association represents all building societies in the UK. The number of building societies is low compared with the number of banks, partly because of demutualisation but also because many building societies have merged over the years. For example, the Yorkshire Building Society has merged with the following building societies: Huddersfield, Bradford, West Yorkshire, Haywards Heath, Barnsley, Chelsea, and Norwich and Peterborough.

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7.3 Credit unions

Credit unions are similar to building societies because they are also mutual organisations owned and run by the individuals who are their members. The key difference between a credit union and a building society is that the majority of a credit union's members must share a common bond. The common bond might be that they all:

- live and work in a certain area, for example Bristol;
- work for a specific employer, for example a local authority, the Co-operative Group, the police, or Royal Mail;
- work in a particular industry, for example transport;
- belong to a specific organisation, such as a church or housing association.



For the No1 CopperPot credit union, the common bond is that its members work for police forces in England and Wales or have a pension from one of these forces.

Credit unions operate as financial co-operatives focusing on savings (including cash ISAs), loans and insurance. Members pool their savings to make loans to other members and any profits are returned to the members. This means that the amount of money a small credit union is able to lend may be quite small.

The Association of British Credit Unions Limited (ABCUL) is the leading trade association for credit unions in England, Scotland and Wales, representing around 70% of the credit unions and 85% of the British credit union membership.

7.3.1 Membership of credit unions

Credit unions are much smaller organisations than banks and most building societies. The No1 CopperPot Credit Union Ltd has over 34,000 members, whose common bond is that they all work for the police in England and Wales or receive a pension from these police forces. Bristol Credit Union has about 13,000 members who all live or work in Bristol, Bath and the surrounding areas and Suffolk Credit Union has 600 members, whose common bond is that they all deliver a public sector service and live or work in Suffolk (ABCUL, no date). The attraction of a credit union for many members is that it benefits people like them because of the common bond, and it keeps funds in the local economy.

On 8 January 2012 the law changed to allow credit unions to:

- offer membership to more than one group of people, so reducing the focus on the common bond;
- include organisations such as community groups, businesses and social enterprises, as well as individuals.

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There are still restrictions, however, as organisations can only make up 10% of a credit union's membership and can be offered a maximum of 10% of its loans. Credit unions whose common bond is a geographical area can have a maximum of two million members. The option of having some members who do not share the common bond will make it easier for credit unions to attract more savings deposits and so make more loans available to their members. The changes in legislation also mean that people who leave the area or change jobs do not have to leave the credit union. These people are classified as non-qualifying members (NQM). It is up to the individual credit union to decide how many NQMs they will allow.

7.3.2 Products offered by credit unions

Credit unions offer two main products: savings and loans. Before January 2012, credit unions were restricted to paying returns on savings in the form of annual dividends which were a percentage of the profits made, for example 1%–2% per year with a maximum legal limit of 8%. Dividends are only paid if the credit union makes a profit or, if it makes a loss, if the board decides to use its cash reserves to pay the dividend. Since the legal changes introduced in 2012, credit unions can choose to pay a guaranteed rate of interest instead of a dividend. This will make it easier for people to compare the rate of return on savings from a credit union with the rates offered by other providers. Not all credit unions will wish to offer interest rates, however, as those that do must show that they have the necessary systems and controls in place to make the payments, and must hold reserves of at least £50,000 or 5% of total assets, whichever is the greater.

A key role of a credit union is to offer members affordable loans. The APRs and fees charged are set by the individual credit union and can be as low as 1% of the reducing debt balance each month which is 12.7% APR. Legally, the monthly charge cannot be greater than 2% of the reducing balance of the loan which is 26.8% APR.

As well as savings and loans, credit unions offer a range of other products, including:

- life assurance;
- the Credit Union Current Account with cash or debit card; and
- a pre-paid payment card.

7.3.3 Advantages and disadvantages of credit unions

The benefits of credit unions are that:

- they have lower operating costs than other providers, such as banks;
- the profits generated are used for the benefit of members, not external shareholders;
- they provide a local, community-focused service;
- they inspire customer loyalty through the common bond.

The disadvantage of credit unions is that they may offer only a limited product range, depending on their size.

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7.4 National Savings and Investments (NS&I)

National Savings and Investments (NS&I) is an executive agency of the Chancellor of the Exchequer. It was originally set up by the Government in 1861 as the Post Office Savings Bank. In 1969 it was renamed National Savings and became a government department, reporting to government ministers in the Treasury. The savings and investment deposits were used to provide funds to the Exchequer. In 1996 it changed from a government department to an executive agency, giving managers more autonomy in the day-to-day running of the organisation. Then in 2002, its name was changed to National Savings and Investments (NS&I). When people buy its products they are lending money to the government. In return, all of the money in NS&I products is guaranteed to be 100% safe by the Treasury.

NS&I offers a number of savings and investment products, including:

- a cash ISA;
- a savings account;
- an investment account;
- income bonds; and
- Premium Bonds.

According to the NS&I website (www.nsandi.com), the AERs on NS&I products are set to achieve a balance between the interests of:

- customers, by offering them a fair rate;
- taxpayers, by raising cost-effective finance for the government; and
- the wider financial services sector, to support stability.

NS&I does not pay interest on Premium Bonds. Instead, a rate is used to calculate how much money would be paid in interest and the money is placed into a prize fund. Every month two Premium Bonds are selected at random to win £1 million and there are over a million other cash prizes. People buy Premium Bonds because of the chance of winning a prize, although the odds are 34,500 to 1, and because the money is 100% safe. People can save between £25 and £50,000 in Premium Bonds, and the funds can be withdrawn with no notice and no penalty.

People can apply for Premium Bonds and all other NS&I products online, by telephone or by post.

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7.5 The Post Office

The Post Office has over 11,500 branches across the country and also operates mobile vans that visit rural locations, making access to Post Office financial services convenient for a large proportion of UK consumers. According to the Post Office website (www.postoffice.co.uk), 93% of adults live within 1 mile of a branch and 99% live within 3 miles.

The Post Office offers a range of financial products and services, which are provided by its partner banks and insurance companies. These include:

- savings accounts, mortgages and a credit card;
- loans: personal loans, car loans, home improvement loans and debt consolidation loans;
- a cash ISA;
- home and car insurance policies;
- travel insurance;
- life cover, including free new parent life cover; and
- pet insurance.

The free parent life cover is assurance that is free of charge, has a 12-month term from the date of the baby's birth and pays out £15,000 on the death of either parent (or £30,000 if both die).

The Post Office used to offer current accounts but it reduced its product range. It still allows free deposits and withdrawals from most other UK banks in branch and at its ATMs, and sells foreign currency with no commission fees.



In many small towns and villages the Post Office is the only provider with a local branch.

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Some of the products that the Post Office used to offer were designed to meet the needs of people on low incomes in particular. The Budget Card Plus, for example, was an electronic purse that people used to store money until they needed to pay a range of bills including car tax, electricity and the balance of a Post Office credit card.

Another example was the Post Office Card Account, a basic current account that enabled people to receive their benefits and / or pension from the government and to withdraw cash using their account card at any Post Office branch.

As with banks, building societies and credit unions, deposits in Post Office products and services are covered by compensation schemes. Deposits in the Bank of Ireland UK products are protected by the UK Financial Services Compensation Scheme (FSCS) which covers amounts up to £85,000.

7.6 Communication methods

The 'Big Five' banks in the UK (in terms of assets) are Barclays, HSBC, Lloyds Banking Group, Standard Chartered and the Royal Bank of Scotland Group. These banks communicate with customers and potential customers via branches on the high street, websites and online banking, telephone banking, post and mobile phone texts. Other providers may use only some of these communication channels (also known as distribution channels). For example, first direct uses online and telephone banking only. Customers use a mixture of the channels depending on what they need and where they are. For example, they might visit a branch at the weekend to ask a question, check their account balance on their mobile phone and make transactions online through their provider's website.

There are advantages and disadvantages of each of these communication methods.

7.6.1 Branches

The advantages of branches include the following:

- Customers can go in and talk to someone in person, which many customers prefer, feeling that they trust the process more than telephone or online banking.
- The branch can advertise all of its products, which means that when a customer of one product – a savings account, for example – goes into the branch, they may become aware of, and interested in, another – such as a loan account.
- Branch staff offer a personal service – customers feel that local staff know them and understand their requirements.

The main disadvantage of branches for customers is that it may not be convenient to visit them, as they are open when most people are at work or school / university.

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For a provider, the main disadvantage of branches is that it is expensive to run branches in every town in which it has customers. The cost of this ends up being passed onto customers through higher product charges.

7.6.2 Online banking

The main advantages of online banking for customers are that they can:

- have access 24 hours a day and 7 days a week;
- carry out banking transactions immediately, such as making transfers between accounts and payments;
- research products and use online tools to make calculations such as the likely repayments on a loan (these tools only give indications as the final cost is subject to the customer's status);
- apply for products online.

The main advantage for the provider is that websites are low cost compared with branches, and administrative costs are reduced because the customer completes forms or makes transactions themselves.

The main disadvantages of online banking are the security issues and the lack of personal contact to ask questions. Providers have reduced the potential security risks by introducing security systems (such as anti-fraud software, customer passwords, and card readers that customers use at home with their account card and PIN to generate codes). These protections were strengthened in 2019 due to rules on strong customer authentication; that is, ensuring an online banking customer is who they say they are.

Providers have also addressed the issue of personal contact by giving customers easy access to staff via the website. This may be via email, by requesting a telephone call or by an automated assistant that is programmed to respond to frequently asked questions.

7.6.3 Telephone

The advantages of the telephone as a communication method include the following:

- Customers can contact their bank from wherever they are.
- The call centre often has longer opening hours than branches and some (such as first direct) operate 24 hours a day.
- Call centres are less expensive than branches for providers to operate.
- Customers can access specialist advice that is not available in the branch – for example, by speaking to the credit card department.
- Customers can ask questions to clarify information or raise concerns and get tailored responses.

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The main disadvantages of telephone banking are potential fraud and the quality of the customer service. Providers use security systems to check that a caller is the genuine customer, such as passwords and details from the customer's last statement. They also support call centre staff with computer systems that help them to answer customer queries. Customers can still experience problems in dealing with call centres, however, especially if the person they are talking to does not understand the product they are enquiring about.

7.6.4 Mobile banking

Mobile banking combines the benefits and disadvantages of online and telephone banking. The main advantage is that it is quick and convenient for both customers and providers to use. The main disadvantage is that it requires sophisticated security to ensure data remains safe.

7.6.5 Post

The main advantage of post as a communication method is that it delivers a physical message that customers can spend time considering and keep for future reference. Providers can use statement inserts and mail shots to advertise their products to existing and potential customers. Post is also the most convenient method for customers who need to return a signed contract (for example, for a loan) or to supply other paperwork.

The main disadvantages of using post are the time it takes for information to arrive and the potential risk of documents being lost in transit.

7.7 Choosing a provider

When people are deciding which financial product to buy, they start by assessing their personal circumstances and working out what type of product they need – for example, a cash ISA or a current account with a low-cost overdraft facility. The next step is to research the best rates available to them (some products may require minimum deposits, for example). Price is not the only consideration, however, because people are also influenced by how safe the product is, how convenient the communication methods are and the values of the organisation. Once people have a shortlist of possible products, the choice of provider becomes important. The following are some of the questions that people consider.

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Should they stay with their existing provider or buy a product from a different one?

Some people stay with their existing provider because they are more comfortable buying new products from an organisation they know or because they trust the provider and are pleased with the customer service they receive. There are practical reasons why using the same provider can be an advantage, such as:

- knowing where the local branches are;
- using a familiar online banking site; and
- knowing the helpline telephone numbers.

However, some people stay with one provider because they think it is difficult to buy a new product from a different one or to switch their existing accounts. This reluctance to change is called inertia and explains why some customers stay with providers even though they are dissatisfied with the products and service.

The Current Account Switch Service is run by Bacs and makes switching current accounts quick and easy. Providers must switch a current account to another provider within seven days. This includes moving all automated payments such as direct debits and standing orders.

Another reason why some people buy all their products from one provider is because they assume they will be rewarded for their loyalty. While some providers offer better interest rates for existing customers, many offer their best rates to new customers only.

How do they want to communicate with the provider?

When deciding which main methods of communicating with a provider suit them best, people consider convenience and personal preference. Some people have easy access to the internet and wish to check balances and make transactions themselves, other people prefer to talk to staff on the telephone and others prefer visiting branches.

What type of provider do they prefer?

One saver might prefer to buy from a credit union because their money is used to support the local community, while another saver may prefer to go to a large bank because it has been established a long time and is well known. Some people may prefer to deal with a mutual organisation such as a building society or credit union because such providers do not need to pay shareholders. Someone with more than £85,000 to save (the maximum covered by the FSCS) may wish to save with NS&I because their funds will be 100% safe.

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The Fords: choosing a provider

Several members of the Ford family are making decisions about providers.



Gordon (aged 68) has just retired. He has a current account with an online-only bank but now that he no longer receives payments of at least £1,000 per month the bank wishes to close the account. Gordon plans to walk into the local village most days to meet friends or visit the library and keep fit. The only financial services provider in the village is one of the 'Big Five' banks, so Gordon decides to open an account there to receive his state pension.



Kurt (aged 44) is dissatisfied with his bank. When he received his statement last month he discovered that the bank had charged him a returned payment fee although he had money in his account. Kurt telephoned the bank but was passed from one member of staff to another. No one could help him so he had to make an appointment to see an adviser and take time off work to go to the meeting. Eventually the problem was sorted out but Kurt wishes to switch his current account to another provider. Kurt would like to open a current account with a building society because he has read that they tend to offer better customer service. He prefers communicating with his provider by telephone and face-to-face in branch so he switches his account to a building society that has a branch nearby.

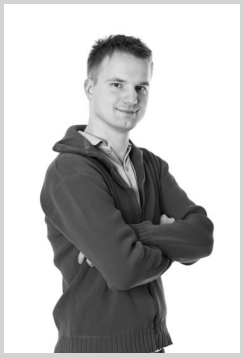


Meg (age 42) wants to open a cash ISA for the current financial year. She has a cash ISA from the last financial year with her bank. Looking at the AERs her savings could earn, she decides to stay with her bank as it offers a bonus to existing customers who buy and operate a cash ISA online. Meg does most of her banking online anyway so being restricted to online communication does not cause her concern.

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Sally (aged 23) has moved to a new town to start a new job. She has a current account with a building society but it does not have a branch in the new town. She is considering switching her account and discovers that there is a credit union for people who work with her new employer. After investigating the details, Sally decides to switch her account to the credit union because she likes the idea that it exists to benefit her and her colleagues. Sally was concerned that she might have to change current accounts again if she leaves the employer but is assured that she can remain a member.





Nigel (aged 20) is at university. He chose his provider because it offered him the most mobile banking features. He finds the text alerts very helpful, particularly the ones that tell him when his current account balance is low. When this happens he can use his mobile phone to transfer funds from savings and avoid becoming overdrawn.

Key ideas in this topic

- Differences between banks, building societies, credit unions, NS&I and the Post Office in terms of their:
  - products;
  - ownership;
  - size;
  - history; and
  - trade associations.
- The different communication methods that providers offer:
  - branch;
  - online;
  - telephone;
  - mobile; and
  - post.
- The advantages and disadvantages of each method.

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